MODULE 2, CHAPTER 1: THE INDUSTRIAL REVOLUTION & THE TWO GREAT CLASSES

Historical Origins

- **The Industrial Revolution:** Engineering Insurance began in Great Britain during the 18th century as the factory system was established [cite: 7].
- **The First Boiler Insurer:** The constant explosion of early steam plants led to the formation of the **Steam Boiler Assurance Company** in 1858 [cite: 7].

The Two Great Classes

- **Non-Renewable Classes (The "Under Construction" Phase):** Designed to cover buildings, civil engineering projects, and machinery during the construction or erection phase [cite: 7].
    - **Strict Rule of Coverage:** The policy commences upon the delivery of materials and machinery to the site [cite: 7].
    - Coverage terminates when erection, installation, testing, and commissioning are finished and the plant is ready for normal use [cite: 7].
- **Renewable Classes (The "Operational" Phase):** These are annual policies intended to cover completed industrial plants and installations [cite: 7].
    - Coverage steps in only after the turnover and acceptance of the facility by the owner [cite: 7].

> **Key Takeaway:** **Always split engineering risks by time! If the project involves hard hats and scaffolding, it falls under Non-Renewable classes. Once the owner accepts the keys and turns the power on, it transitions entirely to Renewable annual policies.**